

the claim that bitcoin was ringing the bell for a new asset class.⁶

KEY DIFFERENTIATORS BETWEEN ASSET CLASSES

In our investigation of economic characteristics, we find the main differences come down to governance, supply schedule, use cases, and basis of value. Beyond economic similarities, asset classes also tend to have similar liquidity and trading volume profiles. Remember that a liquidity profile refers to how deep the order book of the markets is, while trading volume refers to how much is traded daily. Lastly, asset classes differ in their marketplace behavior, the most important of which include risk, reward, and correlation with other assets.

A general pattern exists of assets belonging in the same class behaving in a similar fashion. While each unique asset in a class will behave slightly differently from others, they resemble one another more closely than they resemble assets from other classes.

Brand-new assets within a class will differ in their behavior from more mature assets in the same class. Differences in maturity are particularly relevant for cryptoassets, with its oldest asset being only eight years old and newborns arriving on a weekly cadence.

At the moment, cryptoassets are best described as an emerging class. Their economic characteristics of governance, supply schedule, use cases, and basis of value are relatively